

Dial In

Financial Model & Growth Strategy

App Store & Google Play Revenue Model | June 2026

1. Unit Economics

App Store / Google Play Store Cut

- **15%** while annual gross revenue stays under ~\$1.18M (Apple/Google Small Business Program)
- **30%** once you cross that threshold -- costs approximately \$300,000/year at \$2M scale

Per Subscriber -- What You Actually Keep

	Monthly \$5.99	Annual \$49.99	Lifetime \$79.99
Gross price	\$5.99	\$49.99	\$79.99
Store cut (15%)	-\$0.90	-\$7.50	-\$12.00
Store cut (30%)	-\$1.80	-\$15.00	-\$24.00
Anthropic API	-\$0.01	-\$0.12	-\$0.01
Supabase/infra	-\$0.01	-\$0.12	-\$0.01
Net (15% era)	\$5.07	\$42.25	\$67.97
Net (30% era)	\$4.17	\$34.75	\$55.97

2. Affiliate Commission Structure

Ongoing monthly commissions drive sustained promotion. One-time bounties get a burst then affiliates move on. Use **ongoing** for monthly plans, **one-time** for annual and lifetime.

Commission Rates by Tier

Tier	Who Qualifies	Monthly (per sub/mo)	Annual (one-time)	Lifetime (one-time)
Platinum	100k+ audience	\$2.00	\$15.00	\$20.00
Gold	10k - 100k	\$1.50	\$12.00	\$15.00
Silver	1k - 10k	\$1.00	\$8.00	\$10.00
Standard	Anyone	\$0.75	\$5.00	\$7.00

What You Keep Per Affiliate-Referred Subscriber (Standard Tier, 15% era, avg 10-month retention)

Plan	Your Net	Affiliate Cost	Payout Fee (2%)	You Keep
Monthly (10 mo avg)	\$50.70	\$7.50	\$0.23	\$42.97

Plan	Your Net	Affiliate Cost	Payout Fee (2%)	You Keep
Annual	\$42.25	\$5.00	\$0.15	\$37.10
Lifetime	\$67.97	\$7.00	\$0.21	\$60.76

Even at Platinum tier on monthly: net over 10 months \$50.70, affiliate cost \$20.00, payout fee \$0.40 -- you still keep \$30.30.

3. Payout Service -- Three Stages

App Store IAP payments cannot be shared directly with affiliates. Track conversions via promo codes entered in-app, pay affiliates from your bank account where App Store proceeds land. Model assumption: 2% blended payout overhead on all commissions paid.

Stage	Volume	Best Service	Monthly Cost	Per-Payout Fee	Est. Overhead
Stage 1	Under 30 affiliates	PayPal Payouts	\$0	2% (max \$20)	\$50-200/mo
Stage 2	30-200 affiliates	Tipalti Lite	\$199/mo	1%	\$300-600/mo
Stage 3	200+ affiliates	Impact.com	\$500/mo	1%	\$700-1,500/mo

4. Three-Year Financial Model

Key Assumptions

- Subscription mix: 35% monthly / 50% annual / 15% lifetime
 - Free-to-paid conversion: 10% of downloads
 - Monthly plan churn: 4.5% per month
 - Annual renewal rate: 62%
 - Affiliate-referred share: 35% Year 1, 25% Year 2, 20% Year 3 (organic grows)
 - Android launches Month 10 (adds ~40% more volume from Year 2 onward)
 - App Store cut: 15% until gross revenue crosses ~\$1.18M, then 30%
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Year 1

Metric	Q1	Q2	Q3	Q4	Full Year
New downloads	14,000	20,000	26,000	32,000	92,000
New paid subscribers	1,400	2,000	2,600	3,200	9,200
Active paid (end of quarter)	1,350	3,100	5,400	8,100	--

Year 1 Revenue (all at 15% store cut)

Stream	Subscribers	Gross Revenue	After 15% Cut	Notes
Monthly (avg 2,400 active)	--	\$172,512	\$146,635	\$5.99 x 2,400 x 12
Annual (4,600 new sales)	4,600	\$229,954	\$195,461	
Lifetime (1,380 new sales)	1,380	\$110,386	\$93,828	
TOTAL		\$512,852	\$435,924	

Year 1 Costs

Item	Annual Cost
Anthropic API (~800k queries)	\$800
Supabase Pro	\$300
Vercel	\$240
Payout service (Stage 1 -- PayPal)	\$1,800
Affiliate commissions (35% of subscribers)	\$38,500
Payout fees (2% of commissions)	\$770
TOTAL COSTS	\$42,410

Year 1 Net Profit: \$393,514

Year 2

Android launches Q1. Affiliate programme scaled. First hardware partnership active.

Metric	Q1	Q2	Q3	Q4	Full Year
New downloads	55,000	65,000	72,000	80,000	272,000
New paid subscribers	5,500	6,500	7,200	8,000	27,200
Active paid (end of quarter)	12,800	18,200	24,100	29,800	--

WARNING: The 30% threshold triggers in Year 2. Gross revenue crosses ~\$1.18M around Q2. Apple's cut jumps to 30% for the remainder of the year -- costing approximately \$180,000 compared to staying at 15%. Planning move: launch a Lifetime push in Q1 before the threshold hits. Lifetime revenue is recognised immediately at 15%.

Year 2 Revenue (blended 15%/30% store cut)

Stream	Gross Revenue	After Store Cut	Notes
Monthly (avg 14,000 active)	\$1,006,920	\$855,882	Crosses 15% to 30% mid-year
Annual (13,600 new sales)	\$679,864	\$577,884	
Lifetime (4,080 new sales)	\$326,359	\$277,405	
TOTAL	\$2,013,143	\$1,711,171	Blended ~15/30% split

Year 2 Costs

Item	Annual Cost
Anthropic API (~4.5M queries)	\$4,500
Supabase Pro	\$300
Vercel	\$240
Payout service (Stage 2 -- Tipalti)	\$2,400
Affiliate commissions (25% of new subscribers)	\$102,000
Payout fees (2% of commissions)	\$2,040
TOTAL COSTS	\$111,480

Year 2 Net Profit: \$1,599,691

Year 3

Compounding growth. Hardware partnerships fully active. Organic growth dominates.

Metric	Value	Notes
New downloads	380,000	Cumulative: 744,000
New paid subscribers	38,000	
Active paid (end of year)	58,000	Churn balanced by new growth

Year 3 Revenue (all at 30% store cut)

Stream	Gross Revenue	After 30% Cut	Notes
Monthly (avg 24,000 active)	\$1,726,848	\$1,208,794	All at 30% now
Annual (19,000 new sales)	\$949,810	\$664,867	
Lifetime (5,700 new sales)	\$455,943	\$319,160	
TOTAL	\$3,132,601	\$2,192,821	

Year 3 Costs

Item	Annual Cost
Anthropic API (~8M queries)	\$8,000
Supabase Pro / Team	\$1,800
Vercel Pro	\$240
Payout service (Stage 3 -- Impact.com)	\$6,000
Affiliate commissions (20% of new subscribers)	\$142,800
Payout fees (2% of commissions)	\$2,856
TOTAL COSTS	\$161,696

Year 3 Net Profit: \$2,031,125

5. Three-Year Summary

	Year 1	Year 2	Year 3
Downloads	92,000	272,000	380,000
Active paid subscribers	8,100	29,800	58,000
Gross App Store revenue	\$512,852	\$2,013,143	\$3,132,601
After store cut	\$435,924	\$1,711,171	\$2,192,821
Total costs	\$42,410	\$111,480	\$161,696
NET PROFIT	\$393,514	\$1,599,691	\$2,031,125

6. The Three Decisions That Change Everything

1. The 30% Threshold -- Plan Around It

Once you cross ~\$1.18M in gross annual revenue, Apple takes 30%. That is a \$300,000/year hit at \$2M scale. Two levers: (1) front-load Lifetime sales before crossing the threshold each January; (2) split revenue across iOS and Android -- each platform calculates its threshold independently. \$600k iOS + \$600k Android = \$1.2M gross at 15% on both.

2. Organic vs Affiliate Mix Matters Enormously

At 20% affiliate-referred subscribers vs 0%, the difference in net profit is ~\$140,000/year at scale. Prioritise organic channels -- SEO, hardware partnerships, App Store featuring. These are the highest-margin acquisition channels and they compound over time.

3. Lifetime Tier Is Your Year 1 Weapon

In Year 1 at 15% store cut, a lifetime purchase nets \$67.97 -- equivalent to 11+ months of monthly subscription margin upfront, with zero churn risk. Push it hard in Year 1 before crossing the 30% threshold. The \$79.99 price converts well with enthusiast audiences who want to own rather than subscribe.

7. Fastest Path to \$2M -- Priority Actions

Ranked by speed and leverage:

When	Action	Why It Matters
Week 1	File Apple Editorial Submission	Submit at developer.apple.com/contact/app-store/promote . A feature generates 500,000-2,000,000 impressions at zero cost. One feature can compress a year of organic growth into a single week.
Month 1	Seed 15 Influencers	Send free Lifetime Pro access to James Hoffmann, Lance Hedrick, Jonathan Gage, European Coffee Trip, and 10-12 micro-influencers (10k-100k followers). No ask. Let them use it. Target: 30,000-50,000 downloads from organic content.
Month 1	Launch on Product Hunt	Best day: Tuesday. Best time: 12:01am PST. Title: 'Dial In -- AI coffee coaching that gives you one fix per brew.' Target top 5 Product of the Day.
Month 3-6	Hardware Partnerships	Approach Fellow, Baratza, and Timemore with a QR code bundle offer: 3 months free Pro in every box. Cost to you: promotional codes (free via Apple). Potential: 15,000-50,000 high-intent trials per partner per year.

When	Action	Why It Matters
Month 1-6	Expand SEO to 50 Pages	Add: /chemex, /kalita-wave, /moka-pot, /cold-brew, /drip-machine plus problem-specific pages ('why does my coffee taste bitter', 'espresso pulling too fast') and grinder-specific pages ('Baratza Encore grind settings'). Each page is a permanent acquisition channel.
Month 9-10	Launch Android	Doubles addressable market. Each platform has its own \$1.18M threshold for the 15% rate -- splitting revenue across both platforms delays the 30% cut significantly.
Month 6	Launch Affiliate Programme	Start with Standard and Gold tiers only. Add Platinum once you have relationships. Use Apple promo codes for trial offers, pay flat bounties from App Store proceeds via PayPal. Upgrade to Tipalti when you have 30+ affiliates.

Dial In -- Confidential Financial Model -- June 2026 | All projections are estimates based on comparable app growth trajectories and current App Store economics. Actual results will vary.